nation was an historic event. A small country had succeeded in winning independence and unification in the face of the armed opposition of the greatest power in the world. The help given to Vietnam by the socialist countries, the political support extended by a large number of Asian and African countries, and the solidarity expressed by the peoples in all parts of the world, helped in achieving this.

4.9 Towards European Union

(a) Council of Europe

One of the momentous decisions taken in the post-War II era was to integrate the states of Western Europe. In doing so the Europeans wanted (1) to prevent further European wars by ending the rivalry between France and Germany. (2) to create a united Europe to resist any threat from Soviet Russia. (3) to form a third force in the world to counter-balance the strength of the US and USSR. (4) to make full use of the economic and military resources of Europe by organizing them on a continental scale. In May 1949 ten countries met in London and signed to form a Council of Europe. The Council of Europe with headquarters at Strasbourg was established with a committee of foreign ministers of member countries and a Consultative Assembly, drawn from the parliaments of foreign countries.

(b) European Coal and Steel Community (ECSC)

The European Defence Community (EDC) and the European Coal and Steel Community (ECSC) were established. Six countries (France, West Germany, Italy, Belgium, Holland and Luxemburg belonging to ECSC signed the treaty of Rome which established the European Economic Community (EEC) or the European Common Market, with headquarters at Brussels.

(c) European Economic Community (EEC)

The EEC eliminated barriers to the movement of goods, services, capital, and labour. It also prohibited public policies or private agreements that restricted market competition. A common agricultural policy (CAP) and a common external trade policy were evolved. European Common market was a remarkable success.

(d) Single European Act (SEA)

The Single European Act came into force on July 1, 1987. It significantly expanded the EEC's scope giving the meetings of the EPC a legal basis. It also called for more intensive coordination of foreign policy among member countries. According to the SEA, each member was given multiple votes, depending on the country's population. Approval of legislation required roughly two-thirds of the votes of all members.

(e) European Union (EU)

The Maastricht (Netherlands) Treaty signed on February 7, 1992, created the European Union. The monetary policy and a common currency (euro) to replace national currencies managed by common monetary institutions were subsequently planned and implemented. Today the European Union has 28 member states, and functions from its headquarters at Brussels, Belgium.

4.10 Fall of Berlin Wall and End of Cold War Era



The division of Germany into West (Federal Republic of Germany) and East (German Democratic Republic) led to glaring differences in living standards. West Berlin's economy became prosperous thanks to the support received from the West under the Marshall Plan. In contrast the USSR had little interest in developing the economy of East Berlin. Further, people in East Berlin suffered from lack of democracy and freedom. Therefore, people of East Berlin moved to West Berlin in large numbers. In West Berlin, on the other hand, there was a fear that the Soviets could use military force to take West Berlin. In this context, East Germany began to construct

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